MDI GURGAON , SANKALAN **SK-2026-01**

SwiftKart Enters Rajnagar

Quick Commerce at the Tier-2 Frontier

How does a capital-rich national entrant win durable share in a Tier-2 city without igniting a price war that destroys margins for everyone ,when the incumbents' advantage is not financial but relational, and cannot be bought at any price?

The three memos on Ananya Reddy's desk could not all be right. Each proposed a different way for SwiftKart to enter Rajnagar ,a Tier-2 city of about 9.2 lakh people in central India ,and each had been written by a colleague who privately believed the other two were about to walk the company off a cliff. Reddy had read them four times. None was foolish, but only one could be acted on, and the board had given her two weeks to choose.

She had eleven years in Indian retail behind her, and SwiftKart had recruited her in 2024 for exactly the assignment now in front of her. Four of those years had been spent opening modern-trade stores in cities the size of Rajnagar, and they had taught her something no spreadsheet captured. A launch could be flawless on every metric the head office tracked and still die quietly in its second quarter ,because the family that had shopped at the same neighbourhood kirana for three generations was not going to switch to an app for a five-rupee saving, and no dashboard had a column for loyalty that old.

In May 2026, the board handed her a budget of ₹35 crore over three years, a deadline of two weeks, and a single unforgiving question: should SwiftKart enter Rajnagar at all ,and if so, how? A larger sum was not on the table, and Reddy understood why. The industry had spent four years and an estimated ₹12,000 crore in collective losses learning that this business could bankrupt the impatient (those losses were the aggregate cash burn of all the major platforms over four years, not the loss of any single firm, and not the per-order figures shown in Exhibit 3). The board wanted Rajnagar ,but it wanted Rajnagar to make money, and it had begun to suspect those were two different wishes.

The three memos framed the fight precisely. Vikram Nair, who ran operations, wanted to build SwiftKart's own dark stores from day one ,full assortment, ten-minute delivery, total control. Priya Menon, in marketing, agreed the city was winnable but split from Nair on how the first rupee should be spent: not on buildings, she argued, but on demand. Rohan Desai, who held the purse, wanted to spend as little as the board would tolerate: start by converting a few stores SwiftKart already had access to, prove that one small area could cover its own costs, and release more money only once it had.

Vikram Nair HEAD OF OPERATIONS

"We do not enter a city to come second. A converted store holds maybe two thousand items and cannot promise when the order will arrive. If we want Rajnagar to think of us the way the metros do, we build real dark stores ,full range, ten minutes, every time. The orders will come because the experience is better, not before it."

Priya Menon HEAD OF MARKETING & GROWTH

"Footprint is not the question. Demand is. Rajnagar has no quick-commerce habit yet ,we have to build it, and the platform that wins a customer's first ten orders wins the city. But winning the first order is only half the job. In a value-conscious Tier-2 market we also have to grow what each customer spends per order, or the unit

economics never work. That is a marketing problem before it is an operations problem, and it is the one nobody at this table is funding. And let me be clear about one thing: the answer cannot be a discount. The moment we buy the basket, we have started a war on the incumbents' home ground, and they can bleed longer than we can."

Rohan Desai HEAD OF FINANCE

"Almost every player in this industry chased growth first and worried about profit per order later, and most of them are gone. So we do the opposite. We start small: convert a handful of stores in one or two dense neighbourhoods, spend as little capital as possible, and watch one thing ,does that small cluster cover its own running costs? If it does, we release the next slice of the ₹35 crore and expand. If it does not, we stop before we have lost much. I would rather be six months slow than six months too late to turn back."

Behind their disagreement sat the question the entire Indian quick-commerce industry was wrestling with in 2026. The metros were maturing and fiercely contested, and channel growth was slowing even as the absolute numbers stayed enormous (Exhibit 1). The next several hundred million consumers lived in cities like Rajnagar. But no one had yet proven, with numbers a board would accept, that ten-minute delivery could be made to pay there at all.

The Company

SwiftKart was India's second-largest quick-commerce player by daily order volume, trailing only the market leader. Unlike the venture-funded pure-plays that had defined the category ,companies that built every warehouse from scratch and burned investor money to do it ,SwiftKart had been built on top of an established national retail chain, its parent company, ShopKart. That parentage was its single greatest asset and its single greatest constraint.

ShopKart ran a little over 20,000 physical retail stores across formats ,large hypermarkets, neighbourhood supermarkets, and a long tail of speciality outlets ,spread across more than a thousand towns and cities. These were ordinary shops: customers walked in, filled a trolley, and carried their groceries home, exactly as they had for years. This 20,000-store figure was the number that made rivals nervous in slide decks. The number that actually mattered was far smaller. Only about 3,000 of those ShopKart stores ,the ones in the densest neighbourhoods ,had been adapted to also serve as fast-delivery points for SwiftKart, fulfilling online orders to a customer's doorstep within the delivery window. The other seventeen thousand still did only what they had always done: serve walk-in shoppers. They were valuable to ShopKart, but they were not, today, doing anything for SwiftKart.

ShopKart's store estate was a reservoir, not a fleet. The reservoir was vast; the fleet actually doing quick commerce was about 3,000 stores. The question was how much of the reservoir could be made to flow, and at what cost (Exhibit 5).

Alongside those adapted retail stores, SwiftKart also ran a smaller but faster-growing network of dedicated dark stores. A dark store is a small warehouse, typically one to two thousand square feet, that is closed to the public and exists only to fulfil delivery orders ,every shelf arranged for a picker to assemble an order as fast as possible. SwiftKart added these selectively, where order volume justified the fixed cost, but it still ran the great majority of its orders through adapted ShopKart stores rather than purpose-built dark stores.

This created three different kinds of fulfilment point, and the distinction matters for the rest of the case. A dark store is purpose-built, delivery-only, fast, and carries a deep range. A converted ShopKart store is an existing retail shop adapted to also pick and pack delivery orders ,cheap to switch on because the shop, its rent, and its staff already exist, but slower and limited in range because it was laid out for human shoppers, not pickers. And a kirana partner store is an independent neighbourhood shop that SwiftKart could, in principle, plug into its platform as a local fulfilment point ,the lightest-touch option of all, but also the one over which SwiftKart has the least control.

A reasonable person might ask: if ShopKart is a national retail chain, why not simply open a ShopKart store in Rajnagar and be done with it? The answer is that ShopKart already serves cities like Rajnagar in the ordinary way ,through walk-in retail and scheduled home delivery. That is a different business from quick commerce. The board's question is not whether ShopKart should sell groceries in Rajnagar; it is whether SwiftKart can profitably layer ten-minute, app-based delivery on top ,a model with its own economics, its own customer, and its own cost structure. Opening another retail store does not answer that question. Standing up quick-commerce fulfilment does.

The hybrid model gave SwiftKart something the pure-plays structurally could not match. Where a pure-play had to build a new warehouse and then lose money until that single site reached break-even, SwiftKart could switch on quick-commerce fulfilment in a new area from a ShopKart store that was already trading, already staffed, and already paid for. Management believed this was why SwiftKart's blended contribution margin had turned positive while larger, faster rivals were still losing money on every order (Exhibit 3).

That claim drew pointed scrutiny, and Reddy did not fully trust it herself. The objection was sharp. Because SwiftKart spread its orders across a wide base of full-service retail stores, the average number of orders each store handled looked low ,and that flattered the comparison against a pure-play that concentrated everything into a few purpose-built warehouses. Whether the hybrid was genuinely cheaper per order, or whether it simply hid its true delivery costs inside a retail business that existed anyway, was the question the board wanted Reddy to pressure-test before she spent a rupee. (Building one big dark store in Rajnagar would not settle it either ,a single warehouse is just one expensive bet on one location; the real question is which mix of fulfilment points the city can profitably support, and the case asks Reddy to decide that, not to assume it.) The puzzle had a number attached: a hybrid claiming positive contribution at roughly 530 orders per store per day, while a pure-play running nearly four times that per store still lost money (Exhibit 6).

Nor was the model free. Adapting retail stores for fast delivery added real, measurable costs ,picking, packing, and last-mile delivery ,to a business that had never been built to carry them, and those costs showed up directly in ShopKart's profit margin (Exhibit 5, Panel B). The model also had a ceiling. A converted retail store, laid out for shoppers walking the aisles, could practically handle only about 2,000 of the fastest-selling items through a delivery flow. A purpose-built dark store, with no shoppers to accommodate, could carry 6,000 items or more ,and only that wider range could credibly promise the find-everything experience that defined the premium end of the category.

SwiftKart's metro growth was strong but visibly slowing, and the board wanted the next phase of growth to come with a believable path to profit, not in place of one. Tier-2 India was the obvious frontier. It was also the hardest test the hybrid model had yet faced.

The Industry: Quick Commerce in 2026

Indian quick commerce had grown from a pandemic novelty into a structural force. By FY25 the channel was processing roughly ₹64,000 crore in gross order value ,that is, the total rupee value of all goods sold through these platforms in a year ,with credible projections toward ₹2 lakh crore by FY28 as platforms pushed beyond groceries into electronics, beauty, and pharmacy, and deeper into smaller cities (Exhibit 1).

Growth was still rapid but slowing from the triple-digit rates of the early years ,the unmistakable sign of a category leaving its hyper-growth phase and entering the stage where economics, not novelty, decide the winners. Two facts in Exhibit 1 sat in tension: the channel's overall growth rate was falling, even as the share of that channel coming from Tier-2 and Tier-3 cities was steadily rising. The growth was not disappearing. It was moving ,toward cities like Rajnagar.

The market had consolidated around three large pure-play platforms ,companies whose only business is quick commerce ,controlling most of the venture-funded volume, with two retail-backed players (SwiftKart among them) scaling fast alongside them (Exhibit 2). The defining shift of 2026 was a change in philosophy, not technology. After Dunzo, once a well-funded contender, collapsed

and shut down, every surviving player pivoted almost overnight to the language of profit per order, order density, and average order value. The market leader became the first to report a positive operating profit per order in the quarter ending March 2026; its closest rivals were racing to follow while still losing money on every order they fulfilled (Exhibit 3).

Two hard lessons had emerged from four years of losses.

First, density drives the economics. What makes a quick-commerce network profitable is far less how many stores it operates than how many orders each store fulfils per day. Pack orders tightly into a small area and each delivery rider covers a shorter distance and completes more drops; the fixed costs of the store spread across more orders; loss per order falls quickly. Spread the same orders thinly across a wide area and the identical network loses money. The relationship is visible, quarter by quarter, in the disclosed numbers (Exhibit 4): as orders per store climbed, loss per order fell by nearly 60% in a single year.

Second, the metro playbook does not transfer cleanly. New dark stores in smaller towns were taking six to twelve months just to stabilise, let alone earn a return, and the break-even point itself shifted with the city: a dark store needs roughly 1,300 orders a day to break even in a metro, but closer to 800 in a Tier-2 city, where cheaper rent and labour lower the bar even as thinner demand makes it harder to clear (Exhibit 7, Panel A).

And SwiftKart would not enter Rajnagar unopposed. Competition in Tier-2 markets was intensifying: rival platforms ,both venture-funded pure-plays and other retail-backed players with deep pockets ,were pushing into smaller cities, and any one of them could target Rajnagar in the same window SwiftKart did. A strategy that did not anticipate the competitive response was not a strategy; it was a forecast. Exhibit 11 lays out who was moving, how fast, and what it costs to be second.

The Market: Rajnagar

Rajnagar was a prosperous central-Indian Tier-2 city with a real and rising middle class ,but structurally a different animal from the metros where quick commerce had been born and raised. Its roughly 9.2 lakh residents lived across about 2.1 lakh households, with an average grocery spend of around ₹6,800 per household per month. That works out to a total grocery market of roughly ₹143 crore a month, or about ₹1,700 crore a year, across every channel ,kirana shops, supermarkets, and online combined (Exhibit 8, Panel A).

A first glance at that figure invites a fair challenge: is a city this size even worth entering? Quick commerce will, at first, capture only a thin slice of that ₹143 crore ,most grocery spending in Rajnagar will keep going to neighbourhood shops for years. This is precisely why the budget is ₹35 crore and not more, and why the entry must be phased rather than citywide. SwiftKart is not trying to win the whole grocery market on day one. It is testing whether a focused, capital-light entry into the densest, most digitally-ready pockets of the city can build a profitable cluster ,one that earns the right to expand on its own numbers. The prize is not this year's thin slice; it is a defensible position in a fast-growing category before a rival builds the habit first. Whether even that is financially sound is one of the things the team must decide, not assume (Exhibit 8, Panel C).

The city's economy rested on three pillars. A mid-sized industrial belt on the south-western edge ,auto components, light manufacturing, and a railway workshop ,employed tens of thousands of skilled workers. A state government administrative district sat at the centre, with its usual cluster of civil servants, lawyers, and public-sector bankers. And a fast-growing private-college and IT-services corridor on the eastern bypass had drawn close to 35,000 students and young professionals over the past decade. The geography of the city was not uniform, and demand for quick commerce would not be either (Exhibit 8, Panel B).

What did not yet exist was the habit. Rajnagar's grocery trade was overwhelmingly owned by roughly 3,100 local supermarkets and kirana stores ,the small, family-run neighbourhood shops that account for the vast majority of Indian retail. These incumbents held something SwiftKart could not buy at any price or on any timeline: informal credit (the khata, the running tab settled at month's end), relationships spanning generations, free phone-order home delivery from a shopkeeper who knew the family by name, and a depth of trust built over decades. Nationally, around 88% of retail remained unorganised, and the kirana remained, by a wide margin, India's most-trusted way to shop.

Rajnagar's shoppers also behaved differently from their metro cousins. Where a metro professional would happily pay extra to compress a grocery run into ten minutes, the weight of evidence across Tier-2 India pointed the other way: shoppers there valued price over speed. They would wait, if waiting was cheaper. Yet at the same time, the convenience category was growing explosively off a low base. The Tier-2 consumer was, oddly, both the most price-conscious and the fastest-adopting ,willing to wait to save money, yet building a quick-commerce habit faster than the metros ever had.

There was one more complication, and it was political. The national spread of quick commerce had triggered a fierce backlash from traditional traders. Distributor associations claimed that aggressive platform discounting had pushed nearly 200,000 kirana stores to close, and several large FMCG manufacturers had begun shifting support back toward traditional trade in response. The optics were combustible: a national company arriving in a Tier-2 city and cutting prices could easily find itself named in a politician's speech.

And yet the kiranas were not uniformly hostile ,which Reddy found the most interesting thing she read all week. Survey evidence suggested that while a large majority saw quick commerce as their biggest competitive threat, an even larger majority wanted better margins on the goods they sold and would consider partnering with a platform that offered them. The same shop that would protest against a discounting newcomer might happily stock its shelves through one that paid it better than its current supplier did (Exhibit 9, Panel A). What it would actually cost SwiftKart to turn that willingness into a reliable delivery partnership ,in service quality, stock accuracy, brand control, and the sheer effort of coordinating with hundreds of small shopkeepers ,was far less understood (Exhibit 9, Panel C).

The Decision

Reddy's three memos came down to four connected decisions, and no single department could settle any of them alone. Marketing's ambition for market share collided with finance's discipline on spending. The footprint operations chose would quietly limit what the analytics team could even aim for. Saying yes to any one question changed the answer to the others.

1. Fulfilment footprint (Operations). Should SwiftKart enter light ,converting existing stores it already has access to into delivery points, cheap and quick to switch on but limited to about 2,000 items and slower to deliver? Note what "existing stores" can mean here: SwiftKart can convert ShopKart's own retail stores, or it can partner with independent kirana shops. (Converting a ShopKart store gives more control and consistency but exists only where ShopKart already has a

store; partnering with a kirana extends reach into neighbourhoods ShopKart does not cover, but means relying on an independent shopkeeper for service quality.) Should it instead build its own dark stores ,full range and ten-minute speed, but a heavy fixed cost that demands high order density to break even (Exhibit 7)? Or some mix of the two, and if so, which type belongs where (Exhibit 8, Panel B)?

2. Go-to-market strategy (Marketing). How does SwiftKart actually win customers and grow what they spend? Discounting is the fastest way to buy share ,and the most dangerous, because the incumbents can outlast it on home turf. So if not price, then what: reliability, range, everyday value, a better app experience, a reason to trust a newcomer? And just as important, how does SwiftKart lift the average order value in a price-conscious market, so that each delivery actually pays? This is where the kirana question also lives ,compete against them, or recruit them as a channel, with all the cost that partnership carries (Exhibit 9)? And where should the opening spend go: into building footprint, or into building demand (Exhibit 8, Panel C)?

3. Demand targeting and the scaling trigger (Analytics). Which neighbourhoods of Rajnagar should SwiftKart enter first, and in what order (Exhibit 8, Panel B)? And what proof should the company demand before it releases the rest of its ₹35 crore to expand a cluster ,order growth alone, or density plus genuine profitability, with growth treated as necessary but never sufficient (Exhibit 10)?

4. Budget and the investment case (Finance). How should the ₹35 crore be split across footprint, winning customers, technology, and a safety reserve ,and on what timeline can this entry honestly claim to earn its money back (Exhibit 7, Panel C)?

Reddy knew the board would reject, on sight, any memo that simply picked one department's view and ran with it. The four decisions had to fit together into one coherent strategy. And that strategy had to survive the question underneath all the others. Aggressive entrants had burned out in Tier-2 cities before her. Patient ones had handed entire cities to faster rivals while they waited for proof. Both ways of failing were live, and sitting on her desk in the form of two of the three memos.

She uncapped her pen over a blank pad and wrote, at the top, the one lesson the industry's ₹12,000 crore of losses had taught beyond any doubt: in quick commerce, it is frighteningly easy to grow your way to bankruptcy. With ₹35 crore and a national brand behind her, SwiftKart could certainly get noticed in Rajnagar. Whether it could turn that attention into a lasting, profitable position ,and do it before a rival running the same playbook arrived ,was far less clear.

Everything she could know for certain was in the exhibits that followed. The rest, she would have to judge.

Notes

1 Dark-store range varies by platform and city; per JM Financial, purpose-built dark stores now stock more than 6,000 items each, up from 2,000–4,000 a few years earlier, while a delivery flow run off a converted retail store is practically limited to roughly 2,000 fast-selling items. Figures are representative, not fixed limits.

2 Makreo Research (Aug 2025); Mordor Intelligence (Jan 2026); Redseer market data. Gross order value (the rupee value of goods sold through the channel) differs from narrower analyst "market-size" revenue measures; see Exhibit 1 note.

3 Eternal (Blinkit) Q4 FY26 investor disclosures, reporting the first positive operating profit per order; industry coverage of Dunzo's wind-down; Zepto draft IPO prospectus (UDRHP) peer-benchmarking tables.

4 Emkay brokerage (Jul 2025) on the roughly 800-order Tier-2 break-even and the 6–12-month stabilisation period; Bernstein on metro versus Tier-2 store profitability.

5 CPM Kirana 2025 (the 86%/89% survey pairing); KLE Technological University / AIJFR Hubli-Dharwad study (Jan 2026); AICPDF filings; Business Standard and The Economic Times on the FMCG shift back toward traditional trade.

Exhibits

A note on terms used in the exhibits

Term	Plain-English meaning
Gross order value (GOV) / Gross merchandise value (GMV)	The total rupee value of all goods sold through a platform in a period. GOV and GMV are used interchangeably here.
Quick commerce (QC)	App-based grocery and essentials delivery, typically promised in 10–30 minutes.
Orders per store per day (OPD)	The average number of delivery orders a single fulfilment point (dark store or converted store) handles in a day. The key density measure.
Average order value (AOV)	The average rupee value of a single customer order.
Contribution margin (CM)	What is left from an order after its direct costs (goods, picking, packing, delivery) but before central overheads. "CM-positive" means each order covers its own direct costs.
Adjusted EBITDA per order	Operating profit or loss per order after central costs too (technology, head office, marketing). Can be negative even when CM is positive.
Net revenue value (NRV)	A platform's net revenue from transactions ,the only revenue measure comparable across different business models (see Exhibit 2).
Pure-play	A company whose only business is quick commerce (e.g., Blinkit, Zepto, Instamart).
Inventory-led	The platform itself buys and owns the stock it sells, and books revenue on the goods it sells (gross of cost of goods, but net of returns and discounts) – a much larger top line than a marketplace, though not identical to NRV (see Exhibit 2 note).
Marketplace	The platform connects buyers with third-party sellers and books only its commission as revenue, not the full value of goods.
Retail-backed / hybrid	A quick-commerce business built on top of an existing retail chain, fulfilling orders from a mix of converted retail stores and dedicated dark stores (e.g., SwiftKart, built on ShopKart).
Households (HH)	The number of households (families/dwellings), used as the base for demand sizing.

Exhibit 1. Channel size, growth, and the Tier-2 shift, FY22–FY28E

Metric	FY22	FY24	FY25	FY28E
Channel gross order value (₹ crore)	~13,300	~28,000	~64,000	~2,00,000

Metric	FY22	FY24	FY25	FY28E
GOV growth (YoY; FY28E shown as multi-year)	—	~100%	~129%	~3× FY25 (multi-yr)
Tier-1 metros (% of GMV)	~87%	~72%	~67%	~62–67%
Tier-2/3 cities (% of GMV)	~13%	~28%	~33%	~38%+
QC as % of all online retail GMV	~3%	~8%	~13%	~20%+

Exhibit 2. Indian quick commerce: the players, FY26

Three pure-play platforms, plus the retail-backed players that are SwiftKart's true peer group. Read the revenue column with care ,see the note below.

Player (business model)	Orders/ day	Dark stores	FY26 NRV*	Reported revenue*	FY26 operating profit
Blinkit (inventory-led pure-play)	~25.1 L	2,243	~₹52,000 Cr	₹37,779 Cr	positive
Zepto (inventory-led pure-play)	~17.5 L	1,139	₹24,816 Cr	₹22,624 Cr	–₹5,041 Cr
Instamart (marketplace pure-play)	~11.3 L	1,143	~₹22,000 Cr	₹3,859 Cr	–₹3,511 Cr
Retail-backed players (hybrid)†	growing fast	several hundred	not disclosed	not disclosed	claim CM-positive

NRV = net revenue value (a platform's net revenue from transactions, after discounts and platform-level netting). NRV is the cross-model comparator; "reported revenue" is each company's accounting top line, which is struck on a different basis and so does not equal NRV – for an inventory-led player it can sit below NRV once returns, platform discounts, and netting are removed, and for a marketplace it is far lower still because only commission is booked. "L" = lakh. Orders/day are FY26 annual averages, while the orders-per-store figures in Exhibits 4 and 6 are higher quarter-end (Q4 FY26) exit rates; dividing annual-average orders by period-end store count will therefore give a lower figure than the Q4 exit rate, and the two are not directly comparable.

Exhibit 3. Profit and loss per order, Q4 FY25 → Q4 FY26

Three pure-play platforms. This exhibit shows per-order economics only ,it does not show the industry's total losses, which were spread across all players over four years.

Adjusted EBITDA per order	Q4 FY25	Q4 FY26	Direction of travel
Blinkit (market leader,	–₹12.56	positive	first to cross into profit

Adjusted EBITDA per order	Q4 FY25	Q4 FY26	Direction of travel
inventory-led)			
Zepto (No. 2, inventory-led)	–₹142.68	–₹59.40	loss cut by ~58% in one year
Instamart (No. 3, marketplace)	–₹94.81	–₹76.20	narrowing, more slowly

Industry-wide per-order building blocks (illustrative ranges)

Line item (per order)	Range / value
Average order value (AOV), industry-wide	₹400–550 (varies by player and city)
Average order value (AOV), Tier-2 benchmark	~₹450–500 (Tier-2 baskets are smaller, more price-led)
Gross margin per order	₹50 – ₹70
Fulfilment cost per order (picking, packing, last-mile only; excludes rent & warehousing)	₹35 – ₹45
Advertising income (a margin lever, % of NRV)	rising toward ~8%
Effect of private-label products on gross margin	lifts it by ~4–9 percentage points

Adjusted EBITDA per order = operating profit/loss per order after all costs, central ones included. The building blocks are internally consistent: gross margin (₹50–70) minus fulfilment cost (₹35–45) leaves a small positive contribution per order before central overheads are added.

Exhibit 4. How density changes the economics (Zepto, the No. 2 player, disclosed)

These are nationwide figures for one large pure-play across all its markets (predominantly metros and large cities) ,shown to illustrate the density-to-profit relationship, not Tier-2-specific numbers.

Metric	FY24	FY25	Q4 FY26
Orders per store per day (OPD)	1,325	1,565	~2,140
Average delivery distance (km)	2.05	1.73	1.83
Total cost per order	₹158.55	₹185.11	₹127.79
Adjusted EBITDA per order	–₹84.64	–₹136.15	–₹59.40

OPD = orders per store per day. FY25 loss per order widened (–₹84 → –₹136) even as orders per store rose, because the company roughly tripled its store count that year and the new stores carried fixed costs before their order volumes caught up; once that build-out settled, FY26 improved on every line.

Exhibit 5. A retail-backed hybrid at scale (SwiftKart's real-world mirror)

How a large retail chain's existing stores let its quick-commerce arm reach many cities cheaply ,and what that reach costs the retail parent. This is the closest public mirror of the SwiftKart-on-ShopKart model.

Panel A ,The reach an existing store network unlocks (FY26)

Metric	Value	What it means for SwiftKart
Total retail stores in the parent chain	~20,160	The full estate ,most are ordinary retail, not delivery points
Stores adapted for quick-commerce fulfilment	~3,100	The portion actually doing quick commerce (~15% of the estate)
Dedicated dark stores (supporting role)	~800	Purpose-built, added where converted stores cannot hit the delivery window
Cities / pin codes covered	1,200+ / 5,100+	Reach a pure-play could not match without huge capital outlay
Quick-commerce order growth (FY26, year-on-year)	more than 4×	The store-led model scales fast once switched on
Delivery promise	~30 minutes	Deliberately not 10 minutes ,value and reach over peak speed
Range per dark store	6,000+ items	vs ~2,000 from a converted retail store; ~1,000 at a typical kirana

Panel B ,What quick commerce costs the retail parent

Adapting ordinary retail stores to also fulfil fast-delivery orders adds picking, packing, and delivery costs the retail business was never built to carry. Those costs show up as a fall in the parent chain's profit margin.

Retail parent's profitability	Before quick-commerce scale-up	After quick-commerce scale-up (FY26)
EBITDA margin (operating profit as % of sales)	~8.6%	~7.9–8.0%
Margin given up to fund delivery	—	roughly 0.6–0.7 percentage points

In plain terms: before pushing into quick commerce, the retail parent earned about ₹8.60 of operating profit on every ₹100 of sales; after, about ₹7.95. That gap of roughly 0.6–0.7 percentage points reflects the cost of fulfilling fast deliveries from stores built for walk-in shoppers, which management attributed explicitly to the scaling of quick commerce.

Exhibit 6. Orders per store and the hybrid's profitability claim

Panel A ,Orders per store per day, and profitability status

Player	Orders per store per day (OPD) ,profitability status
Zepto (No. 2, inventory-led pure-play)	~2,140 ,still losing money
Blinkit (market leader, inventory-led)	~1,357 ,profitable
Instamart (No. 3, marketplace)	~1,095 ,losing money
Retail-backed hybrid (disclosed claim)	~530 ,claims it covers its direct costs

OPD = orders per store per day. The puzzle: a hybrid claims it covers its direct costs at only ~530 orders per store per day, while a pure-play running nearly four times that volume per store still loses money. Panel B breaks down where the difference might come from.

Panel B ,Cost per order: hybrid converted store vs pure-play dark store (illustrative)

All figures per order, in rupees. The final column shows the hybrid's advantage (+) or disadvantage (−) on each line.

Line item (per order, ₹)	Pure-play dark store	Hybrid converted store	Difference
Gross margin (after cost of goods)	55 – 65	60 – 75	+5 to +10
Picking & in-store labour	8 – 12	10 – 15	–2 to –3
Rent & utilities charged to delivery	10 – 14	3 – 6	+7 to +8
Mid-mile transport & warehousing	5 – 8	2 – 4	+3 to +4
Last-mile delivery	27 – 33	27 – 33	about 0
Advertising income (an offset)	20 – 30	15 – 25	–5

Source: *Reliance Q3–Q4 FY26 commentary (the hybrid cost-cover claim); Zepto draft IPO prospectus (pure-play orders per store and Blinkit per-order cost breakdown); JM Financial quick-commerce report; Chryseum; Emkay brokerage (Jul 2025). The per-order ranges in Panel B are illustrative and internally consistent, not the actuals of any single player.*

Exhibit 7. Tier-2 break-even and the ₹35 crore cost blocks

Panel A ,The Tier-2 break-even reality

Observation	What it means for Rajnagar
A dark store needs ~1,300 orders/day to break even in a metro, but only ~800/day in a Tier-2 city (store-level).	Cheaper rent and labour lower the bar ,but thinner demand makes clearing even 800 harder.
New Tier-2 stores take 6–12 months to stabilise.	A capital-heavy entry means a long stretch of losses before any payback.
A Tier-2 dark store can stock ~6,000–8,000 items vs ~1,000 at a local kirana.	Range, not speed, is the more credible reason for an aspirational Tier-2 shopper to switch.
Mid-mile transport costs a bit more in Tier-2 but is "manageable."	It does not, on its own, sink the economics (Emkay brokerage).

"Store-level break-even" means the point at which a single store covers its own direct running costs ,not the point at which the whole company turns a profit. Emkay is a brokerage (equity research firm) whose Tier-2 analysis is cited here.

Panel B ,What each type of fulfilment point costs (Tier-2 city)

These are Tier-2 costs, lower than the metro figures often quoted. A converted store is far cheaper because the shop, its rent, and its base staff already exist ,SwiftKart pays only the extra cost of adding a delivery operation.

Item	Dark store (built new)	Converted store (incremental)
One-time setup (all-in)	~₹40–55 lakh	~₹4–6 lakh
of which: fit-out, racks, cold units, IT	~₹25–32 lakh	~₹2.5–4 lakh
rental deposit	~₹8–14 lakh	,(space already exists)
opening stock	~₹7–9 lakh	~₹1–2 lakh (extra only)
Monthly running cost	~₹5–7 lakh	~₹1–2 lakh
Roughly breaks even at	~800 orders/day	~250–400 orders/day
Item-range ceiling	6,000+	~2,000

Why the converted store breaks even so much lower: its rent and base staff are already paid for by the existing retail business (whether ShopKart's or a kirana's), so SwiftKart covers only the extra cost of picking, packing, and delivering.

Panel C ,Where the ₹35 crore should go (the team sets the split)

These are the categories the ₹35 crore must cover over three years. The case gives indicative ranges as a sense of proportion; deciding the actual split, and defending it, is the team's job.

Where the money goes	Indicative range	What it covers
Footprint (store setup + 3-yr running cost)	₹15–19 Cr	The largest block: building dark stores and/or converting stores, plus their running costs over three years (use Panel B).
Winning customers (acquisition)	₹3–6 Cr	Getting first-time users onto the platform. Indicative Tier-2 cost ₹180–280 per new customer (vs ₹350–500 in metros).
Marketing & demand creation	₹4–6 Cr	Building the brand, lifting average order value, retention and referrals, local promotions ,explicitly not deep discounting.
Technology & central support	₹2–3 Cr	Local mapping, delivery routing, kirana-integration tools, customer service.
Working capital & stock	₹2–4 Cr	Inventory and operating cash beyond the opening stock in Panel B.
Contingency reserve	₹2–4 Cr	A buffer for the slow-ramp period every entry hits.

As a rough sense of scale, the ₹15–19 crore footprint block above could fund something like six dark stores, or around thirty converted stores, or a mix (for example three dark stores plus roughly eighteen conversions), using the Panel B costs over three years – with the rest of the ₹35 crore going to acquisition, marketing, technology, working capital, and contingency. The split is the team's to set and defend.

Indicative demand anchors for forecasting (ranges, not targets): Tier-2 average order value ~₹450–500; 4–7 orders per month per active household; 35–50% of first-time customers still ordering 90 days later.

Exhibit 8. Rajnagar ,population, neighbourhoods, and demand

Panel A ,The city at a glance

Parameter	Value
Total population	~9.2 lakh
Households (families/dwellings)	~2.1 lakh
Average grocery spend per household per month (all channels)	₹6,800
Total grocery market per month (all channels)	~₹143 crore
Total grocery market per year (all channels)	~₹1,700 crore
Smartphone penetration	77%
Digital-payment readiness (of smartphone users)	93%
Local supermarkets & kirana stores (city-wide)	~3,100
Share of Indian retail that is unorganised (national)	~88%

A sizing anchor: 2.1 lakh households × ₹6,800/month ≈ ₹143 crore a month of total grocery spending across every channel. Quick commerce will capture only a part of this, and the case asks the team to state and defend its own assumptions for how much, rather than assert an order volume without basis. Note the gap between high payment-readiness (93%) and an as-yet-low quick-commerce habit.

Panel B ,Rajnagar's five neighbourhoods (households sum to ~2.1 lakh)

Neighbourhood	Households	Income profile	Density / housing	Digital readiness	Likely QC adoption
A. Civil Lines & Cantonment (north-central)	22,000	Affluent ,govt officers, doctors, lawyers, retired senior staff	Low-medium; bungalows + new apartments	Very high (93%+)	Early adopters; small baskets, high frequency; range-led
B. University & IT corridor (eastern bypass)	38,000	Mid-income workers + ~35,000 students	High; hostels, builder flats, gated apartments	Very high (saturated)	Fastest adopters; very high frequency; convenience-

Neighbourhood	Households	Income profile	Density / housing	Digital readiness	Likely QC adoption
					and late-night-led
C. New township & builder colonies (south)	46,000	Aspirational middle class ,private-sector families	Medium-high; gated 2–4 BHK complexes	High (82%)	Strong adopters; family baskets, weekly + top-ups
D. Old city & main market (central + west)	78,000	Mixed ,established families, traders, working class	Very high; narrow lanes, mixed-use	Medium (68%)	Late adopters; deeply kirana-loyal
E. Industrial belt & periphery (south-west, outer)	26,000	Working class, junior industrial and daily-wage	Low-medium; dispersed	Low-medium (54%)	Slow adopters; very price-sensitive

A dark store can credibly serve a 2.5–3 km radius in a Tier-2 city. Neighbourhoods A and B sit within a short distance of each other; C is separate, to the south; D is dense but kirana-heavy and less digital; E is dispersed, on the outer edge of the city.

Panel C ,Demand and growth assumptions for sizing

Indicative ranges ,the team must pick, defend, and test them. Households (HH) here means active customer households.

Parameter	Indicative range	Notes
QC-active households, Year 1	3–8% of city HH	Concentrated in the higher-readiness neighbourhoods
QC-active households, Year 3	12–22% of city HH	Pace depends on building the habit first (Exhibit 11)
Orders per month per active household	4–7	Below metros (8–12) but rising
Average order value (AOV)	₹450–500	Smaller than the metro ₹525–625
First-order to 90-day repeat rate	35–50%	Driven by reliability and range, not discounts
Cost to acquire a first-time customer (Tier-2)	₹180–280	vs ₹350–500 in metros
Tier-2 grocery category growth (per year)	~+46%	The category is expanding fast off a low base
Quick-commerce channel growth	~80% (and	See Exhibit 1

Parameter	Indicative range	Notes
(national, per year)	decelerating)	
Smartphone penetration growth (Tier-2, per year)	~+6–8 pp	Widening the addressable base each year
Internet / data-user growth (Tier-2, per year)	~+10–12%	More households able to transact online

Source: *Demographic and neighbourhood anchors scaled for Rajnagar from Bain "How India Shops Online 2025," CPM Kirana 2025, and central-Indian Tier-2 city profiles. Rajnagar's neighbourhoods are a composite, built to allow cluster analysis without identifying any real city. Demand and growth ranges scaled from Bain, Zepto's prospectus cohort tables, Redseer Tier-2 work, and TRAI/IAMAI connectivity data; acquisition-cost anchors from publicly cited brokerage estimates. All figures are illustrative and internally consistent, not the actuals of any single city. The total-market figure is simple arithmetic from the household and spend rows. ("pp" = percentage points.)*

Exhibit 9. The kirana: biggest obstacle and biggest untapped channel

The same neighbourhood shops are at once SwiftKart's largest competitive threat and, potentially, a delivery channel it could use.

Panel A ,What kiranas themselves say (national surveys)

Kirana sentiment	Share of kiranas
See quick commerce as their single biggest competitive threat	86%
Want better margins on what they sell, and would consider partnering with a platform that pays them more	89%

These two numbers describe different things: the 86% is how many kiranas see quick commerce as their biggest competitive threat, and the 89% is how many would consider working with a platform that improves their margins.

Panel B ,Measured impact of quick commerce on kiranas (Hubli-Dharwad field study, 100 shops, Jan 2026)

Finding	Value
Average revenue fall for kiranas most exposed to quick commerce	~42%
Extra sales decline for shops within 2 km of a dark store vs those on the outskirts	35% larger
Kirana profit margin, before quick commerce → after	10–15% → 5–8%
How much of the damage was offset for shops that adopted digital tools (statistical estimate)	~83%
Extra daily turnover (top-line, not profit) for kiranas that became delivery partners	₹5,000–8,000/day
Share of the market leader's local stock sourced from partner kiranas	~25%

Read together: the sales decline concentrates within about 2 km of a dark store; shops that adopted digital tools recovered most of the lost ground in the study's estimate; and shops that became delivery partners earned ₹5,000–8,000 a day.

Panel C ,What a kirana partnership actually costs the platform

Partnership is not free. The same evidence that shows it can work also shows what it demands of the platform.

Risk / cost	What it looks like in practice
Unreliable service	Independent shopkeepers with no app-trained staff miss delivery windows more often ,on-time rates of 78–85% in early pilots vs 92–96% from a company-run dark store.
Inaccurate stock	Hand-kept inventory means 8–15% of partner items show as available but are not, vs 2–4% in company stores ,leading to cancellations and substitutions that frustrate customers.
Loss of brand control	The customer's order arrives from someone else's shop. Packaging, hygiene, and complaint-handling all need a layer of platform oversight.
Coordination effort	Onboarding, training, payments, and dispute resolution cost roughly ₹15,000–40,000 per partner in the first year ,small per shop, large across hundreds.
Divided loyalty	Partners may also serve competing platforms; locking them in exclusively means paying them more.
Political risk	If SwiftKart is later seen to squeeze partner margins, the backlash lands twice as hard ,"national company exploits local shopkeepers."

Source: *Panel A ,CPM Kirana 2025 and trade-association surveys. Panel B ,KLE Technological University / AIJFR Hubli-Dharwad study (Jan 2026; 100 shops surveyed, statistical fit $R^2=0.62$), the only primary field study of quick commerce's impact on a specific Tier-2 city; AICPDF filings; Reliance Q3 FY26 commentary on kirana partnerships. Panel C ,operating-cost ranges drawn from platform pilot disclosures (Reliance, Tata, Amazon Now), Emkay channel checks, and AICPDF/FRAI submissions on partner experience; illustrative planning anchors, not the actuals of any single programme.*

Exhibit 10. Which measure should decide when to spend the next rupee?

The board can hold Reddy to only one or two numbers at the 12-month mark. Each candidate measures something useful ,and hides something else.

Possible measure	What it captures	Risk if used on its own
Gross order value / order volume	How fast the business is growing on the top line.	Can grow while every order loses money. Easy to inflate with discounts.
Contribution margin per order	Whether each order covers its own direct costs (goods, picking, packing, delivery).	Ignores central overheads; a store can cover direct costs while the whole city operation still loses money.
Orders per store per day (density)	How efficiently each fulfilment point is working.	Must be read against that city's cost base; a high count on an expensive store is not the same as on a cheap one.
Density and per-order profit together	Both efficiency and economics, in combination.	Cautious; can slow expansion in a market where rivals are moving fast (Exhibit 11).
Customer trust / repeat rate	Loyalty and whether the habit is forming.	Hard to set a firm target; a lagging signal; can be gamed through survey design.
Customer-acquisition payback	How quickly a new customer repays the cost of winning them.	Sensitive to how you define the customer's lifetime; can flatter recent groups when numbers are small.

A strong answer will name the one or two measures the next slice of capital depends on, the level each must reach, the time window to reach it, and ,importantly ,why the chosen measure cannot easily be gamed.

Source: *Emkay brokerage (Jul 2025) Tier-2 break-even; Zepto draft IPO prospectus performance framework; Blinkit Q4 FY26 disclosed metrics. The candidate measures are drawn from the public disclosures of the four largest quick-commerce players.*

Exhibit 11. The competition, and the cost of moving second

SwiftKart will not enter Rajnagar alone. Who else could move, how fast, and what it costs to be second.

Panel A ,Who could enter, and how quickly

Player types: a pure-play does only quick commerce; a marketplace connects buyers with third-party sellers; a retail-backed player builds on an existing store chain (as SwiftKart does on ShopKart); a local Tier-2 challenger is a smaller regional grocery/delivery chain native to the area.

Player type	Where they are today	Time to enter Rajnagar from scratch	Likely entry model
Pure-play No. 1 (market leader)	Metros + top-20 Tier-2 cities; expanding selectively	60–120 days (own dark store)	Dark stores, 3–4 sites
Pure-play No. 2	Aggressive Tier-2 push; tripled store count in FY25	45–90 days	Dark stores, discount-led
Marketplace (No. 3)	Slower; range-led	120–180 days	Dark store + third-party sellers
Retail-backed player (like SwiftKart)	Already in 1,200+ cities through a parent chain	30–60 days, if its parent already has a store in/near the city	Switch on delivery from an existing store; conversion-led
Local Tier-2 challenger (regional chain)	Varies; some active in central-India towns	60–120 days	Conversions + own delivery

Panel B ,The cost of being second (indicative)

Factor	First mover (enters month 0)	Second mover (enters month 4)
Cost to acquire a first-time customer	₹180–280	₹320–450
Share still ordering after 90 days	35–50%	22–35%
Time to a profitable first cluster	9–14 months	12–18 months
Pricing freedom	Can lead on range and reliability without matching discounts	More often forced into discount-led catch-up
Window to sign up the best kiranas	Open ,shops not yet tied to a rival	Narrowing ,best partners may already be taken

Panel C ,How the habit sticks to the first platform (illustrative)

Months after a customer's first order	Still ordering	Still ordering mainly from the first platform they tried
1	~80%	~85%
3	~50%	~75%
6	~45%	~68%
12	~38%	~60%

Two opposite risks sit in this data. Moving slowly can let a rival — especially another retail-backed player able to switch on delivery from an existing store within a month — build the customer habit first, after which each customer costs more to win and is harder to keep. Committing heavy capital early carries the opposite risk, of building ahead of demand (see Exhibit 4).